# Practice workbook · Government spending, taxation and laws

Why governments spend and tax, public services, and how laws affect what businesses may do.

5 question parts: 1 worked-example retry and 4 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S1-20

# 1. Question 3 · part d · 6 marks

2022 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

**3** *Cadbury* donates some of its charity funds to local activities in the communities where its factories are located.

(a) Define the term **public relations**.

**(1)**

(b) Outline **one** reason why *Cadbury* interviews shortlisted candidates for vacancies in its functional areas.

**(2)**

*Cadbury* donated £7 617 600 to its charity fund in 2017. In 2018 this donation was 1.2% lower.

(c) Calculate the donation *Cadbury* made in 2018. You are advised to show your working.

**(2)**

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# 1. Question 3 · part d · 6 marks

2022 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

(d) Analyse why some governments have introduced legislation to reduce the amount of sugar in chocolate.

(6)

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# 1. Question 3 · part d · 6 marks

2022 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

*Cadbury* introduces new products on a regular basis, such as Dinky Deckers. The aim of this is to maintain customer loyalty by offering new products. Before releasing Dinky Deckers for sale to the public, *Cadbury* had to decide the method of production it would use. It considered the following two options:

**Option 1:** batch production

**Option 2:** flow production.

(e) Justify which **one** of these two options *Cadbury* should choose.

**(9)**

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## 1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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## 2. Question 2 · part a · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

**2** During the preparation of food, the chefs at *Can Culleretes* have to follow health and safety regulations. New regulations are made from time to time.

(a) State **one** impact government legislation could have on *Can Culleretes*.

**(1)**

(b) State **one** way *Can Culleretes* might add value to its business.

**(1)**

(c) Explain **one** method a business could use to encourage repeat purchase of its products.

**(3)**

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## 2. Question 2 · part a · 1 mark · Working and answer

Working and answer

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## 3. Question 1 · part a.iv · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iv only.

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**1** *Mahindra & Mahindra Limited (M&M)* is an Indian multinational vehicle manufacturing corporation with its headquarters in Mumbai, India. It is one of the largest manufacturers of cars, vans and tractors in the world.

*M&M* started in 1945 and has prospered for over 75 years with the aim of 'Rising through crisis'. In the 1970s with the oil crisis that sent the cost of petrol rising, it adapted its tractor diesel engines to be used in its cars and vans.

*M&M* is committed to ensuring that it protects the environment. In 2020 it planted 1.32 million trees across India. It supports schools for disadvantaged children and teenagers.

**Figure 1** Maslow's Hierarchy of Needs

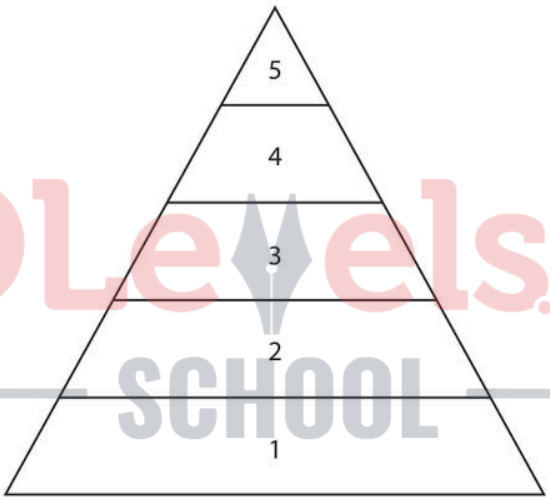



**Figure 1**

(a) (i) Which **one** of the following is Level 3 in Maslow's Hierarchy of Needs?

Select **one** answer.

(1)

- ☒ **A** Esteem
- ☒ **B** Social
- ☒ **C** Safety
- ☒ **D** Basic

## 3. Question 1 · part a.iv · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iv only.

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Selling assets
- ☒ **D** Venture capital

Below is an extract from a cash flow forecast for one month.

The opening balance was £20 000, cash inflow £28 000 and cash outflow £56 000.

(iii) Which **one** of the following is the closing balance for the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£28 000
- ☒ **B** –£8 000
- ☒ **C** £48 000
- ☒ **D** £84 000

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(iv) Which **one** of the following is a reason why governments raise tax rates?

Select **one** answer.

(1)

- ☒ **A** To raise revenue for the government
- ☒ **B** To attract multinationals
- ☒ **C** To raise demand in the economy
- ☒ **D** To reduce unemployment

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## 3. Question 1 · part a.iv · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iv only.

In 2020 *M&M* sold 288,302 tractors. The number of tractors sold in 2021 was 12% higher.

(v) What would be the number of tractors sold in 2021?

Select **one** answer.

(1)

- ☒ **A** 253,706
- ☒ **B** 300,302
- ☒ **C** 322,898
- ☒ **D** 322,910

A shop owner wanted to gain information from potential customers before opening his shop.

(vi) Which **one** of the following market research methods would the shop owner use?

Select **one** answer.

(1)

- ☒ **A** Market segment
- ☒ **B** Primary research
- ☒ **C** Research and development
- ☒ **D** Secondary research

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## 3. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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## 4. Question 3 · part a · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part a only.

**3** (a) Define the term **legislation**.

**(1)**

(b) Outline **one** reason why *Saha* may dismiss an employee.

**(2)**

**Figure 2** is an extract from a cash flow forecast.

| | £ |
|---|---|
| **Cash inflows** | |
| Sales | 24 000 |
| Other income | 5 000 |
| **Cash outflow** | |
| **Net cash flow** | 11 000 |

**Figure 2**

(c) Calculate the **cash outflow**. You are advised to show your working.

**(2)**

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## 4. Question 3 · part a · 1 mark · Working and answer

Working and answer

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# 5. Question 1 · part a.iv · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part a.iv only.

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**1** *Ocean Vibes* is a boat tour business located in two tourists resorts in Portugal. During the tours, it collects wildlife research. The idea came from two young scientists, Alfredo and Pedro, who share a passion for the environment, boats and science. *Ocean Vibes* employs boat tour guides and a sales team in each of the two resorts.

The main goal of *Ocean Vibes* is to connect tourism with science. It offers dolphin and bird-watching tours to tourists and uses the boat tours to collect research data on the wildlife. Its tour guides are knowledgeable, passionate and respectful of the environment.

Customers can book the boat tours online or in the tourist resorts. They are encouraged to leave reviews on *Ocean Vibes'* website.
Every month *Ocean Vibes* provides a boat tour for students and researchers who wish to study the wildlife.

There are many other businesses offering boat tours in Portugal which makes competing in the industry a challenge.

(a) (i) Which **one** of the following is a role within the marketing function?

**(1)**

Select **one** answer.

- ☒ **A** Workforce planning
- ☒ **B** Quality control
- ☒ **C** Sales promotion
- ☒ **D** Training employees

(ii) Which **one** of the following is an example of a non-financial method of motivation?

**(1)**

Select **one** answer.

- ☒ **A** Bonus
- ☒ **B** Remuneration
- ☒ **C** Fringe benefits
- ☒ **D** Job rotation

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# 5. Question 1 · part a.iv · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part a.iv only.

(iii) Which **one** of the following is a phase of the product life cycle?

(1)

Select **one** answer.

- ☒ **A** Introduction
- ☒ **B** Cash cow
- ☒ **C** Dog
- ☒ **D** Star

(iv) Which **one** of the following is an example of a public service provided by the government?

(1)

Select **one** answer.

- ☒ **A** Clothing retailer
- ☒ **B** Police force
- ☒ **C** Mobile phone provider
- ☒ **D** Grocery store

A bank in Portugal charges *Ocean Vibes* 12% interest on overdrafts.

(v) Which **one** of the following is the interest charged by the bank on an overdraft of €1 400?

Select **one** answer.

(1)

- ☒ **A** €140
- ☒ **B** €168
- ☒ **C** €1 388
- ☒ **D** €1 568

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## 5. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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